Business Insights & Recommendations

Objective

The objective of this section is to translate customer segmentation results into actionable business strategies that enhance customer targeting, retention, and overall sales performance.

Customer analysis identified four distinct behavioural segments based on income level and spending behaviour. These segments provide valuable insights for strategic marketing and operational decision-making.

Executive Summary

The shopping mall's customer base is dominated by middle-aged consumers with balanced gender participation. Analysis indicates that spending behaviour is influenced not only by income but also by engagement level and perceived customer value.

Customer segmentation enables the business to shift from mass marketing toward **data-driven customer management**.

1. Which Segment Should the Company Target Most?

The company should primarily focus on the **High Income – High Spending** segment.

Key Observations

- Highest purchasing power
- Strong spending consistency
- Major contribution to overall revenue

Business Strategy

- Introduce VIP loyalty programs
- Offer exclusive product launches
- Provide personalized shopping experiences
- Develop premium brand partnerships

Expected Business Impact

- Increased customer lifetime value
- Higher retention rates
- Stable long-term revenue growth

2. What Offers Can Attract Low-Spending Customers?

Low-spending customers represent an opportunity for engagement improvement rather than exclusion.

Key Observations

- Lower purchasing frequency
- Potential sensitivity to pricing and promotions

Recommended Offers

- Discount and cashback campaigns
- Bundle pricing strategies
- Festival and seasonal promotions
- Reward-based loyalty programs
- Entry-level product offerings

Expected Business Impact

- Increased footfall
- Improved purchase frequency
- Conversion into active customers

---

3. How Can High-Income Customers Be Retained?

Retention strategies for high-income customers should focus on **experience enhancement rather than price reduction**.

Recommended Retention Strategies

- Personalized marketing communication
- Early access to premium collections
- Invitation-only shopping events
- Priority customer service
- Data-driven recommendation systems

Expected Business Impact

- Strengthened brand loyalty
- Higher repeat purchase behaviour
- Improved profitability per customer

Additional Strategic Insights

- Spending behaviour shows weak correlation with income, indicating emotional and experiential factors influence purchasing decisions.
- Age groups exhibit relatively consistent spending patterns, suggesting marketing campaigns should focus on lifestyle segmentation rather than age alone.
- Balanced gender distribution supports inclusive marketing strategies.

Business Value Delivered

This project demonstrates how customer data can be transformed into actionable business intelligence that supports:

- Targeted marketing strategies
- Revenue optimization
- Customer experience enhancement
- Data-driven decision-making

The interactive Power BI dashboard enables management to continuously monitor customer behaviour and refine business strategies dynamically.

Conclusion

Through structured data analysis, customer segmentation, and interactive visualization, the shopping mall can transition toward a **customer-centric operational model**.

By prioritizing high-value customers, activating low-engagement segments, and leveraging data-driven insights, the organization can enhance customer satisfaction while achieving sustainable business growth.